

Supplier Quality Performance Evaluation Procedure

Process 1	Supplier quality evaluation	Personnel resource	No designation
		Material Resource	No designation

INPUT

Honda evaluates the supplier's ability to supply products in accordance with Honda's requirements by conducting supplier quality assessment on the following evaluation items based on the perspectives shown in **Table 1**.

- a) Market quality evaluation
- b) Quality of delivery evaluation
- c) Delivery evaluation (quantity and timing)
- d) Quality assurance system evaluation

Note

The results of audits as needed (QAV-2) may be included in the evaluation items.

Table 1 Evaluation Perspective

Assessment Item		Viewpoint
Product Index	Market quality evaluation	Percentage of market warranty cost incurred
		Changes in warranty claim rates
		Changes in warranty cost per claim rates
		Changes in critical market quality problems
	Delivery quality evaluation	Delivery quality rating evaluation. (See Process 2: Delivery Quality Evaluation)
		Changes in delivery quality rating evaluation.
		Changes in delivery quality dependability rating evaluation.
		Changes in critical delivery quality problems occurrence evaluation.
	Delivery Evaluation	Delivery of mass-produced products (quantity and timing)
System Index	Quality assurance system evaluation (See SQM5.6 Supplier Quality Audits (QAV))	Quality assurance system evaluation by regular quality audit (QAV-1).
	Design and development system evaluation (Evaluation by Honda's development department of suppliers that perform design and development)	Design and development Capability
		Mass Production Capability
		Activities and accomplishment in the last one year

Process 2	Delivery Quality Evaluation	Personnel resource	Top management
		Material Resource	No designation

INPUT

Honda evaluates the supplier's delivery quality performance (including supplied goods) on a monthly basis and sends the results to the supplier as the "Delivery Quality Performance Report.

The evaluation is classified into six levels according to the grade levels shown in **Table 2**.

Table 2: Delivery Quality Evaluation Criteria

Level	5	4	3	2	1	0
Delivery quality rating	Below 6 points	Between 6-18 points	Between 18-30 points	Between 30-60 points	Between 60-90 points	Above 90 points

The suppliers shall include the results of Honda's evaluation of delivery quality performance in their input to top management and strive for continuous quality improvement.

Flowchart Delivery quality evaluation